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US Equity Strategy | North America

Micro Meets Macro: 2Q Earnings Preview

We expect the broadening to continue driven by earnings resiliency from the median stock. Our preferred cyclical trades—Discretionary and Transports—are showing relative strength in terms of earnings revisions breadth. Our systematic transcript analysis shows momentum building around AI adoption.

- Earnings Strength Continues to Facilitate the Broadening in Leadership...**In line with our views, the equal-weighted S&P 500 has outperformed the cap-weighted index since mid-May, driven by improving earnings across the index. The median S&P 1500 company is now delivering double-digit EPS growth—the strongest since the post-COVID recovery. While earnings revisions breadth is undergoing its typical July pause, our preferred cyclical exposures, Discretionary and Transports, continue to show relative strength. With our capex/sales factor consolidating, we're closely watching the market's reaction to capex guidance and whether improving pricing power continues to translate into stronger revenue growth, particularly in consumer-facing industries.
- Key Takeaways from Our Micro Meets Macro Roundtable with Lead Analysts...**Discussion among our research teams reinforced AI as the dominant investment theme, with sustained enterprise spending across Semiconductors, Infrastructure Software, Networking and Cybersecurity. Industrials continue to benefit from broadening capex, reshoring and AI infrastructure investment, while Financials are supported by healthy credit growth and capital markets activity. Consumer trends are proving more resilient than expected, with Durables demand stabilizing and Travel, Gaming and Lodging reflecting an early-cycle recovery.
- Momentum Is Building Around AI Adoption, Supporting Our Broadening Call...**In calendar 2Q26, 40% of companies identified as "adopters" by our analysts cited at least one quantifiable impact from AI adoption, up from 37% in 1Q26 and 21% in 2Q25. Across the broader S&P 500, roughly 25% of companies reported at least one measurable AI benefit, up from 14% a year ago. These trends support our broadening thesis as companies increasingly demonstrate tangible AI-driven benefits and productivity gains across a wider set of industries.

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Micro Meets Macro

Last week, we held our quarterly meeting with lead analysts across US research and our economists/strategists to better connect micro and macro data points. We focused the session on AI investment, pricing power, input costs, consumer spending, and the industrial demand outlook.

TMT

- **Tech Hardware:** Companies continue to raise prices to offset higher semiconductor and memory costs with little evidence of component cost deflation. Pricing power remains strongest in Servers and Storage, and enterprise demand has proven relatively inelastic versus more elastic consumer demand, reflected in PC shipments slowing from +3% y/y in 1Q to -5% y/y in 2Q. The team is hearing some news flow around layoffs on the cost management side.
- **Semis:** AI demand remains robust with rising token prices and continued strength across the ecosystem despite recent market pullbacks. Meta's strategy (neocloud) has created some investor debate, but underlying demand remains exceptionally strong, and the team expects hyperscalers to continue highlighting compute shortages this earnings season. Datacenter memory remains the primary bottleneck, with prices expected to rise another ~30% in 3Q and no signs of demand destruction. Outside of AI, broad market shortages are not expected but hot spots will likely pop up. Overall, fundamentals remain constructive despite recent volatility.
- **Software:** Software budgets are ticking higher and about one-quarter of AI budgets are funded outside of formal IT budgets. Momentum remains strongest in the infrastructure data layer and that's where stock performance has been concentrated. Cybersecurity spending is expected to become increasingly important as AI agents are deployed more broadly. SaaS remains more challenged with meaningful improvement likely still several quarters away. Neocloud demand remains robust with visibility extending well into 2028. The Software debate is in a slightly more constructive place than the beginning of the year due to Cyber, but investor consensus remains fairly negative on the application side.
- **Cybersecurity, Telecom, Networking Equipment:** Optical networking is cooling after a period of exceptionally strong momentum, though the team expects growth to reaccelerate in the back half of the year. Networking investment remains robust with spending increasingly shifting toward inference rather than training. Investment in tools for security analysts is accelerating, as AI is now involved in the majority of cyber-attacks.
- **Business Services:** Seeing strong capital markets activity with debt issuance up roughly 20%, which should be positive for the financial analytic vendors. MCP remains a key theme, supporting pricing power and reinforcing the value of proprietary data. Token costs were a recurring topic throughout the quarter but are being managed by productivity initiatives and workforce reductions. Companies also continue to evaluate business model shifts from traditional subscription models toward consumption-based or hybrid pricing structures.

Consumer

- **Hardlines/Broadlines/Food Retail:** Durables demand has been soft for several years, but end market demand is beginning to catch up. Food-away-from-home continues to capture the incremental consumer dollar from grocery, suggesting the consumer is healthier than headline data implies. Grocery inflation is trending back toward ~3%, June spending improved versus May, and lower gas prices should provide additional support through the second half.
- **Softlines/Brands:** June demand trends were mixed, but we think weakened sequentially, resulting in a softer overall 2Q. Off-price has decelerated the most of any sub-sector q/q. Overall, the team does not view recent trends as evidence of broader consumer deterioration given 1Q benefited from one-time tailwinds. Earnings season is still expected to be healthy, although July faces the toughest y/y comparison, limiting the likelihood of near-term acceleration. Pricing remains inflationary versus the industry's typical deflationary backdrop, largely via mix. Inventories are balanced. In terms of the AI opportunity, SG&A has outpaced revenue growth for several years, which leaves scope for cost savings via efficiencies.
- **Restaurants:** High end spending is still solid but retail sales have slowed to 2-3% driven more by the fast food side. The World Cup didn't seem to have much impact within our restaurant coverage. Expecting demand to firm a bit above and will continue to be driven by high end.
- **Gaming/Lodging/Airlines:** Services trends continue to outperform the broader macro backdrop. RevPAR has accelerated from negative growth last year to +5% (+10% including the World Cup), more consistent with an early-cycle recovery. Strength is being driven by leisure demand, with both high- and mid-end consumers performing well while the low end remains under pressure. Gaming, leisure products, and cruises all remain positive overall, pointing to broad-based improvement led by the high-end consumer.
- **Consumer Staples:** Staples demand softened in May and early June, primarily in the more discretionary categories, and the gas/convenience channel more impacted by higher fuel costs, but trends have started to recover in the last couple weeks as Iran conflict risks recede. CPG companies continue to see limited pricing power. Globally, emerging markets remain resilient, supported in part by consumers who are more accustomed to operating through periods of volatility.

Industrials

- **Freight:** The transportation outlook remains mixed. The quarterly Shippers' Survey reached its highest level since 2022, with net ordering at its strongest level since mid-2024, but conviction around the longer-term demand outlook is less strong. Recent strength appears to be driven more by improving supply availability than demand, where uncertainty persists.
- **Airlines:** Airline demand and booking intent remain healthy, with seven consecutive price increases absorbed without demand destruction. With oil prices moving lower, airlines are unlikely to roll back pricing, though sustained demand will remain the key test.

- **Multis:** The industrial backdrop continues to strengthen. Capex is broadening beyond data centers into areas such as capital goods. Production and short-cycle activity returned to positive growth in 1Q and are tracking well into 2Q. Reshoring progress suggests the U.S. industrial economy may be entering a sustained growth cycle as international production becomes more expensive than domestic. The key debate remains true end-demand versus channel build, with the team viewing the answer as somewhere in the middle. Equipment for data center capex is driving orders very far out. Price is optimistic looking forward. Current call is Industrial > Consumer and US > International within the Industrial coverage.
- **Machinery:** Manufacturing activity remained strong in 1Q and appears to be tracking similarly in 2Q with investment focused around efficiency and automation. Order activity remains healthy and capacity is generally ample outside of power equipment. That said, some uncertainty remains pertaining to tariffs. For example, one manufacturer noted that they are still trying to understand whether they should be optimizing their manufacturing plants in Mexico/other countries versus the US or vice versa. Construction seeing strong megaprojects (data centers and semis) but local/commercial is not as strong. On the positive side, non-residential hiring and new equipment orders are improving.

REITs & Financials

- **REITs:** The CRE cycle appears to be entering its sweet spot. Organic growth reached nearly 4% in 1Q versus a 2.5% long-term average. CRE prices troughed in 4Q24 at -12% peak-to-trough and have since rebounded ~1.5%. With less concerns around further price degradation, transaction activity remains strong, up 23% in 2025 and continuing into 2026. CRE/multifamily mortgage debt are up 5% and origination activity is up 53% y/y. Capital availability remains healthy. M&A activity has reached ~\$60B in 2026 YTD versus a 10-year full-year average of ~\$45B.
- **Consumer Finance:** Credit data has been solid with delinquencies improving more than seasonality. Gas price impacts take 6 months minimum to flow through so not seeing stress there. Low-end consumer looking a bit better from credit card data. Mortgage volumes have slowed YTD but seeing a nice acceleration in home equity volumes.
- **Banks:** Loan demand has been exceptionally strong and broad-based, growing ~7.5% y/y versus 4% last year, led by healthy C&I and middle-market (both capex and working capital lending). Banks reported loan growth is exceeding expectations, though funding that growth is increasing via deposit costs, with forward-priced Fed hikes and branch expansion expected to add further pressure in 2H26 and 2027, prompting modest EPS estimate reductions. Credit quality across C&I, CRE and consumer remains stable, while capital markets activity continues to broaden. Broadening is important for banks as fee rates are generally smaller for megadeals and larger for mid-sized deals. Announced M&A was up 64% y/y, ECM volume was up 107% y/y, DCM was up 19% y/y in 2Q26. Pipelines should be strong, given companies are actively considering strategic actions amidst a supportive regulatory environment and record \$1.8T 2Q M&A volumes (majority strategic deals).
- **Fintech and Payments:** MasterCard and Visa both reported a pickup in spending

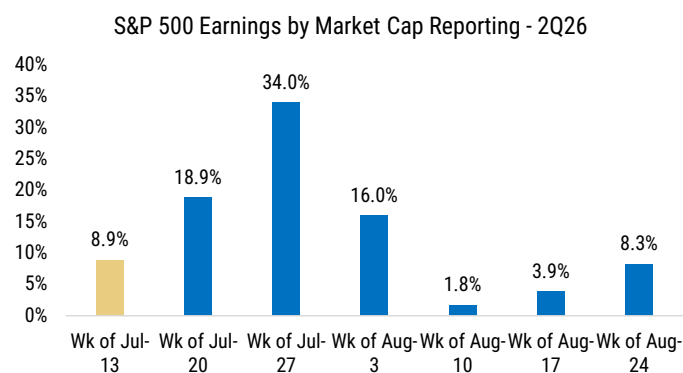
beginning in early May, with little change in spending patterns among lower-income consumers despite higher fuel prices. Chime and Cash App also noted improving account balances for consumers earning roughly \$30k–80k, likely reflecting modest wage growth. Restaurant service providers are seeing an acceleration in same-store sales growth, which differs from a slightly negative long-term trend. There's some speculation that World Cup-related activity may be providing a temporary tailwind.

Earnings Season Chartbook

- Banks kick off earnings this week alongside CPI/PPI inflation prints. The debate centers on continued capital market strength versus potential headwinds from rising deposit costs and forward curve repricing from market-implied Fed hikes. See [US Banks: How Willing Is Your Bank to Pay Up for Deposits? June 2026 \(7 Jul 2026\)](#) and [Micro Meets Macro](#) for more bottom-up commentary into earnings season.
- Despite the seasonal pause, S&P earnings revisions breadth stands at +24%, which is very strong in a historical context and reinforces our view that this remains an earnings-driven market.
- 2Q EPS expected at 19% Y/Y and sales at 9% Y/Y. A mid/high single digit beat rate is achievable.
- 2Q EPS estimates have been revised +2% higher into the quarter, contrary to the typical seasonal pattern where estimates are lowered modestly, thus the bar is slightly higher than it's been.
- Calendar 2026 earnings have revised higher to 24% y/y. Earnings growth contribution is roughly equal between top-line growth and margin expansion.
- Mag 7 earnings are expected to grow 30% in 2026 vs. 16% for the S&P 493. We are seeing early signs of estimates being revised higher for the S&P 493.
- Dispersion (both price and earnings) is elevated heading into the quarter and we expect this to persist during earnings season, giving room for idiosyncratic price action.

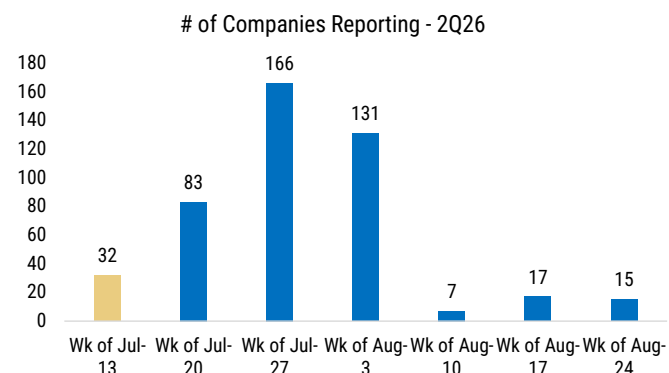
Key Charts

Exhibit 1: 2Q Reporting Season by Market Cap

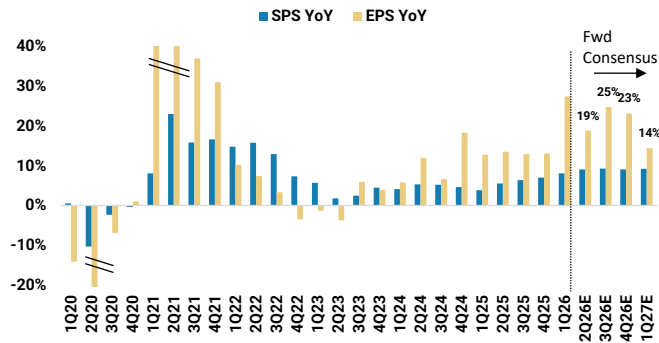


Note: Includes 451 of S&P 500 companies and 95% of S&P market cap reporting from July 10 to Aug. 30
Source: Bloomberg, Morgan Stanley Research

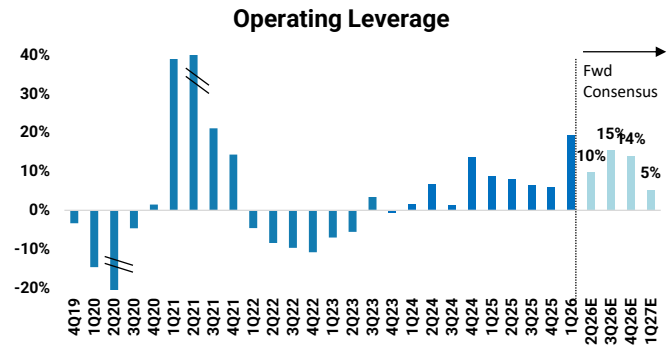
Exhibit 2: 2Q Reporting Season by Company Count



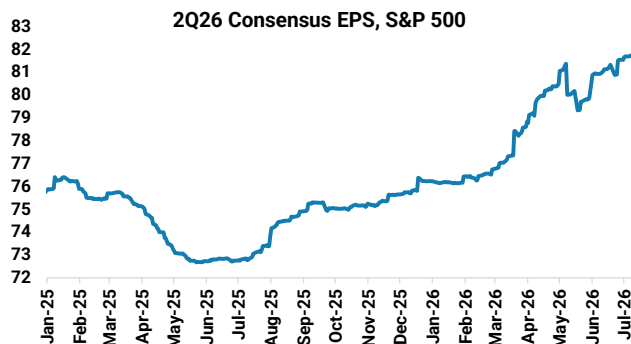
Note: Includes 451 of S&P 500 companies and 95% of S&P market cap reporting from July 10 to Aug. 30
Source: Bloomberg, Morgan Stanley Research

Exhibit 3: Forward SPS and EPS Expectations

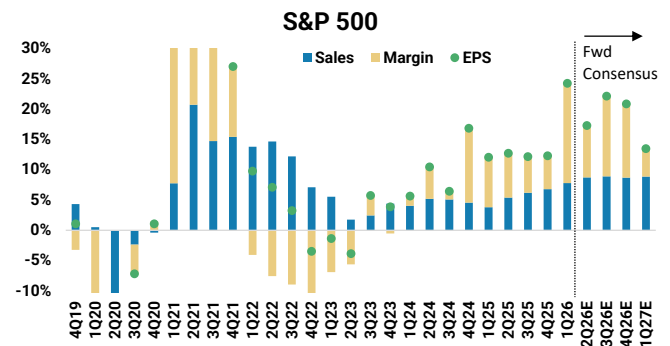
Source: FactSet, Morgan Stanley Research

Exhibit 4: Operating Leverage is Set to Expand in 2026

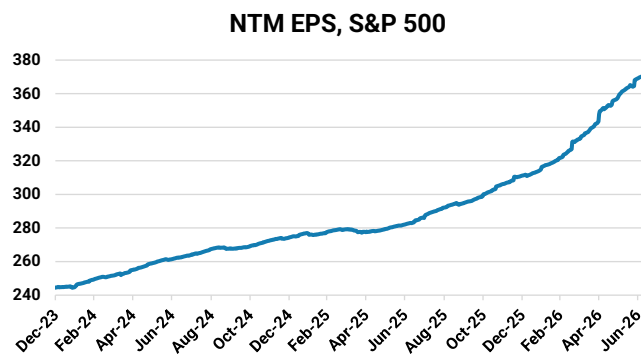
Source: FactSet, Morgan Stanley Research

Exhibit 5: 2Q Estimates Push Higher into EPS Season

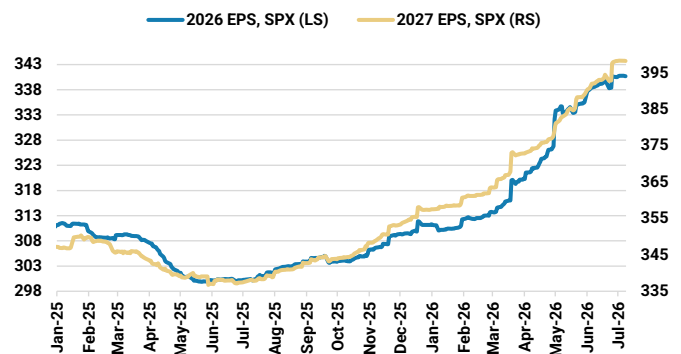
Source: FactSet, Morgan Stanley Research

Exhibit 6: EPS Growth is Coming from Both Top-Line Growth and Margin Expansion

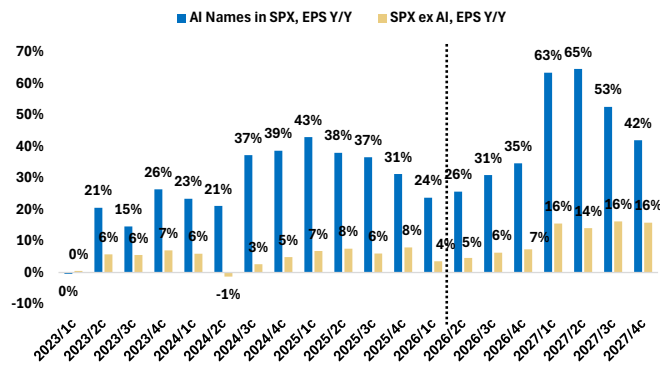
Source: Refinitiv, Morgan Stanley Research

Exhibit 7: Blended Next 12M Earnings Rising Further

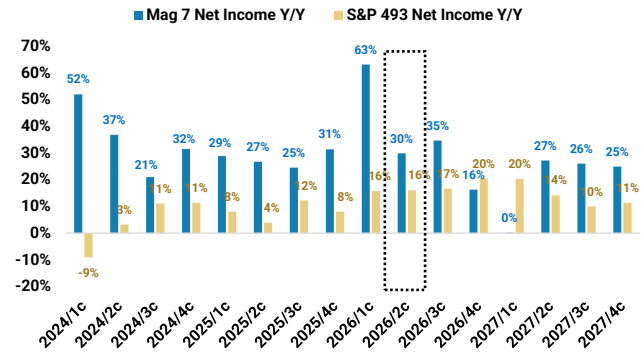
Source: FactSet, Morgan Stanley Research

Exhibit 8: 2026/2027 EPS Estimates Continue to Revise Higher

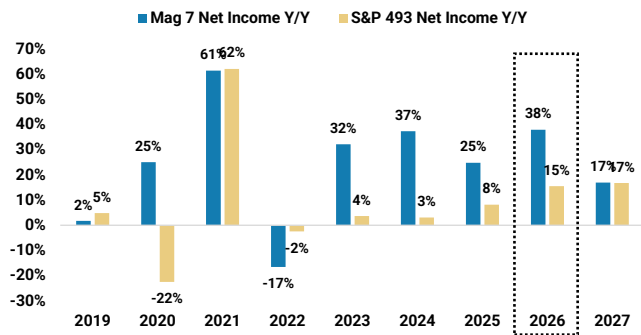
Source: FactSet, Morgan Stanley Research

Exhibit 9: AI vs Non-AI Related Names within S&P 500

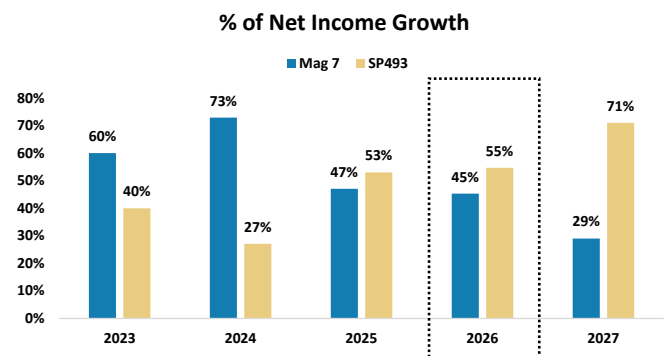
Source: FactSet, Morgan Stanley Research

Exhibit 10: Mag 7 vs SP493 - SP493 Expecting up to 20% Earnings Growth Ahead but Mag 7 Stays Ahead (ex 1Q27 due to comps)

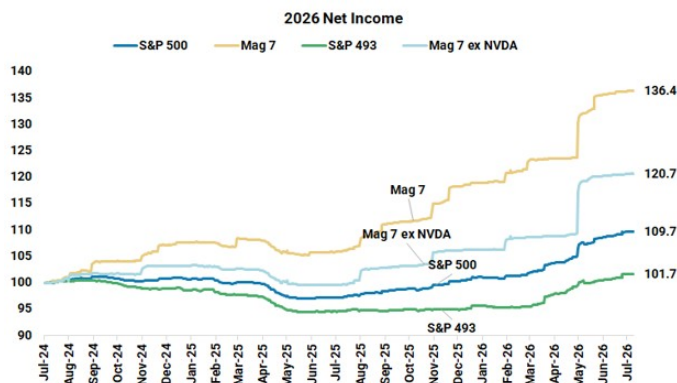
Source: FactSet, Morgan Stanley Research

Exhibit 11: Mag 7 vs SP493 - Estimates are now equal in 2027

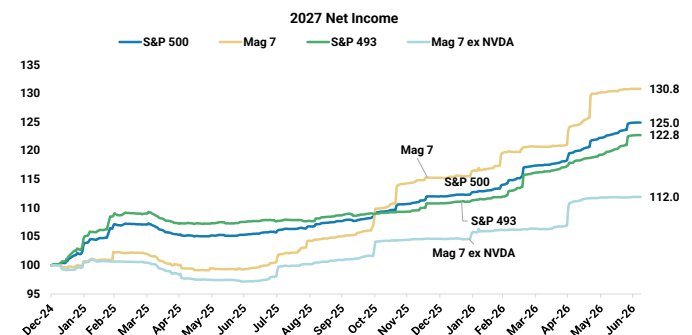
Source: FactSet, Morgan Stanley Research

Exhibit 12: Contribution to S&P 500 Earnings Growth

Source: FactSet, Morgan Stanley Research

Exhibit 13: 2026 Net Income Revisions

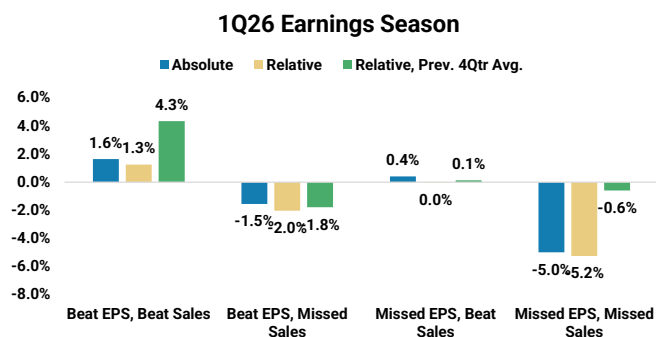
Source: FactSet, Morgan Stanley Research

Exhibit 14: 2027 Net Income Revisions

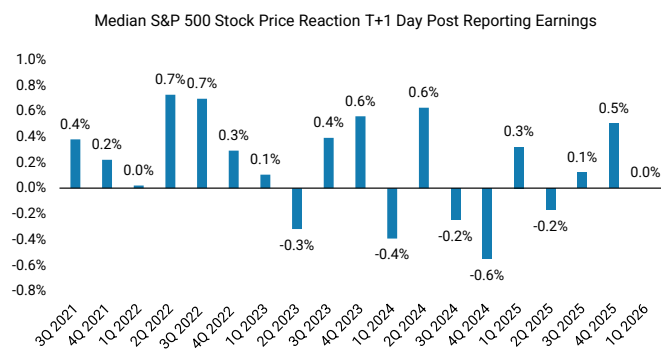
Source: FactSet, Morgan Stanley Research

Price Reaction (1Q 2026)

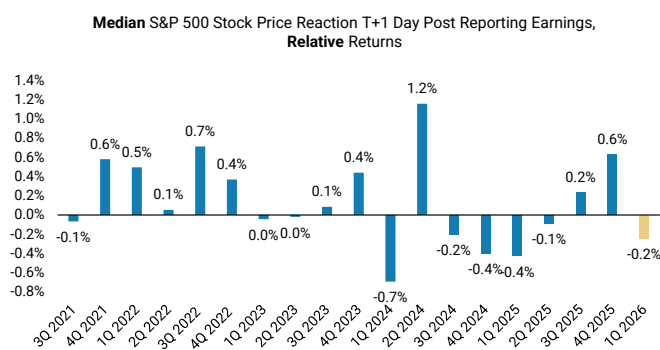
- 1Q saw +0.0% median T+1 price reactions on an absolute basis and -0.2% relative to the broad index.
- Staples, Discretionary, and Materials saw the strongest T+1 price reactions in 1Q26.
- Tech and Industrials saw negative T+1 price reactions in 1Q26.

Exhibit 15: 1Q Price Reaction by Sales/EPS Beats

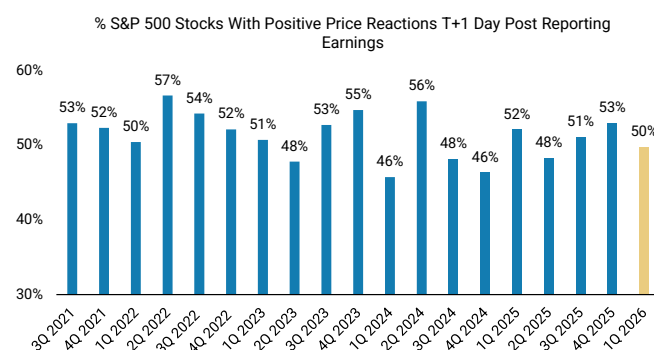
Source: Factset, Morgan Stanley Research

Exhibit 16: T+1 Price Reactions

Source: Factset, Morgan Stanley Research

Exhibit 17: T+1 Relative Price Reactions

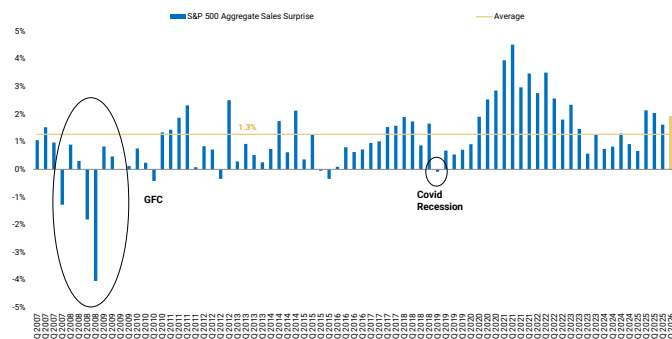
Source: Factset, Morgan Stanley Research

Exhibit 18: Breadth of T+1 Price Reactions

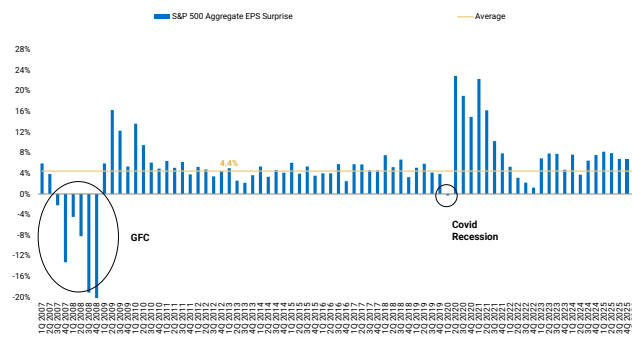
Source: Factset, Morgan Stanley Research

Surprise (1Q26)

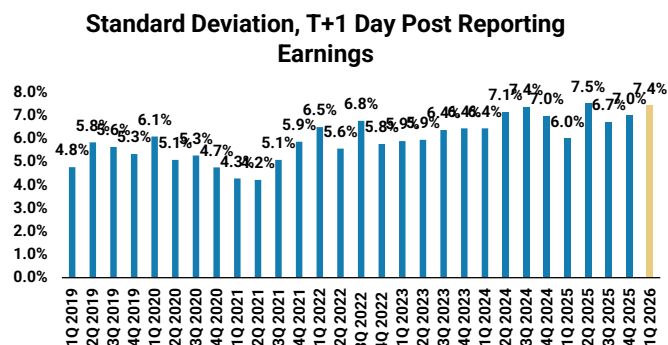
- 1Q EPS surprise at 16.8%, strongly ahead of the historical average of 4.4%.
- 1Q Sales surprise at 1.9%, above the historical average of 1.3%.

Exhibit 19: Sales Surprise: Averages +1% Historically

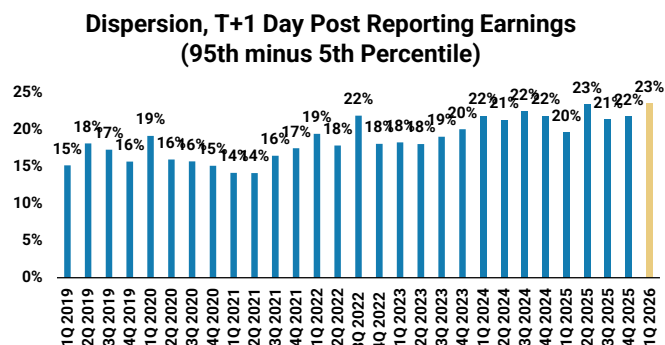
Source: Factset, Morgan Stanley Research

Exhibit 20: EPS Surprise: Averages 4-5% Historically

Source: Factset, Morgan Stanley Research

Exhibit 21: Standard Deviation of T+1 Price Reactions

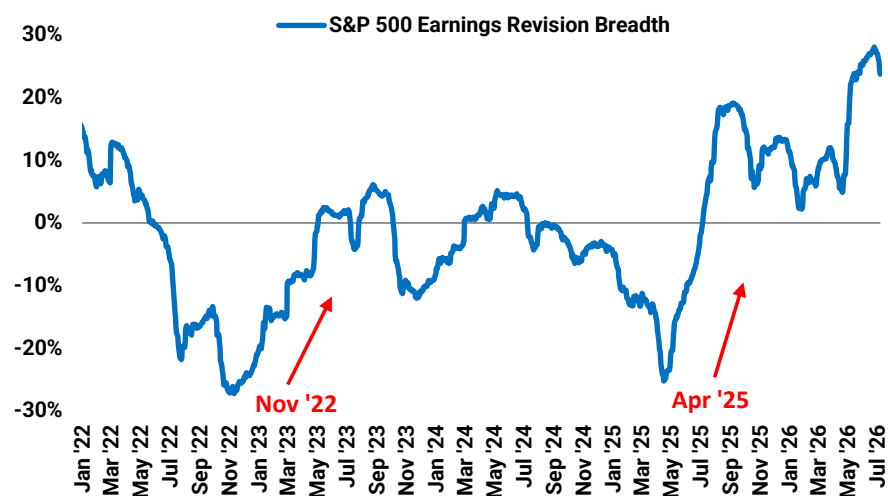
Source: Factset, Morgan Stanley Research

Exhibit 22: Dispersion of T+1 Price Reactions

Source: Factset, Morgan Stanley Research

Company Guidance & Revisions

- S&P 500 earnings revisions breadth (FY2 estimates) is strong at +24% heading into Q2 earnings season with the recent consolidation typical in July.
- Our preferred cyclical trades- Transports and Discretionary- have seen relative strength in terms of EPS revisions breadth over the past two weeks.
- Energy, Materials, and Healthcare have seen the most negative ERB change over the past two weeks.

Exhibit 23: S&P 500 Earnings Revision Breadth

Source: FactSet, Morgan Stanley Research

Exhibit 24: Change in Absolute Earnings Revisions Breadth by Sector & Industry Group

Earnings Revisions Breadth by Industry Group					
	2 Wk. Chg.	4 Wk. Chg.	8 Wk. Chg.	3 Mo. Chg.	6 Mo. Chg.
Autos	26%	31%	28%	44%	0%
Household & Personal Products	13%	18%	21%	7%	5%
Transportation	5%	4%	9%	47%	39%
Retailing	3%	4%	18%	36%	15%
Staples	2%	7%	14%	24%	21%
Consumer Discretionary	1%	3%	12%	27%	16%
Consumer Services	1%	2%	4%	17%	5%
Diversified Financials	0%	2%	4%	21%	6%
Utilities	0%	0%	0%	-2%	0%
Food Beverage & Tobacco	0%	9%	13%	38%	40%
Food & Staples Retailing	-1%	-1%	10%	11%	-6%
Financials	-1%	1%	3%	13%	4%
Communication Services	-2%	-1%	-2%	-9%	8%
Media & Ent	-2%	-2%	-2%	-4%	7%
Real Estate	-2%	-1%	0%	18%	30%
Software & Services	-3%	3%	17%	46%	1%
Banks	-4%	2%	1%	12%	8%
Industrials	-4%	-5%	-3%	24%	30%
S&P 500 Earnings Revisions Breadth	-4%	-3%	0%	15%	15%
Insurance	-4%	-1%	1%	-1%	-2%
Tech Hardware	-6%	-5%	7%	26%	31%
Commercial & Professional Services	-6%	-5%	-4%	28%	23%
Consumer Durables	-6%	-6%	-1%	-11%	5%
Capital Goods	-6%	-7%	-6%	16%	29%
HC Equipment & Services	-7%	-8%	-10%	-1%	2%
Tech	-8%	-2%	6%	15%	13%
Health Care	-8%	-10%	-10%	-1%	0%
Materials	-8%	-8%	-9%	17%	29%
Pharma, Biotech, & Life Sciences	-9%	-12%	-9%	-2%	-3%
Semis	-13%	-4%	4%	16%	30%
Telecom	-15%	-15%	-22%	8%	41%
Energy	-23%	-25%	-24%	-22%	21%

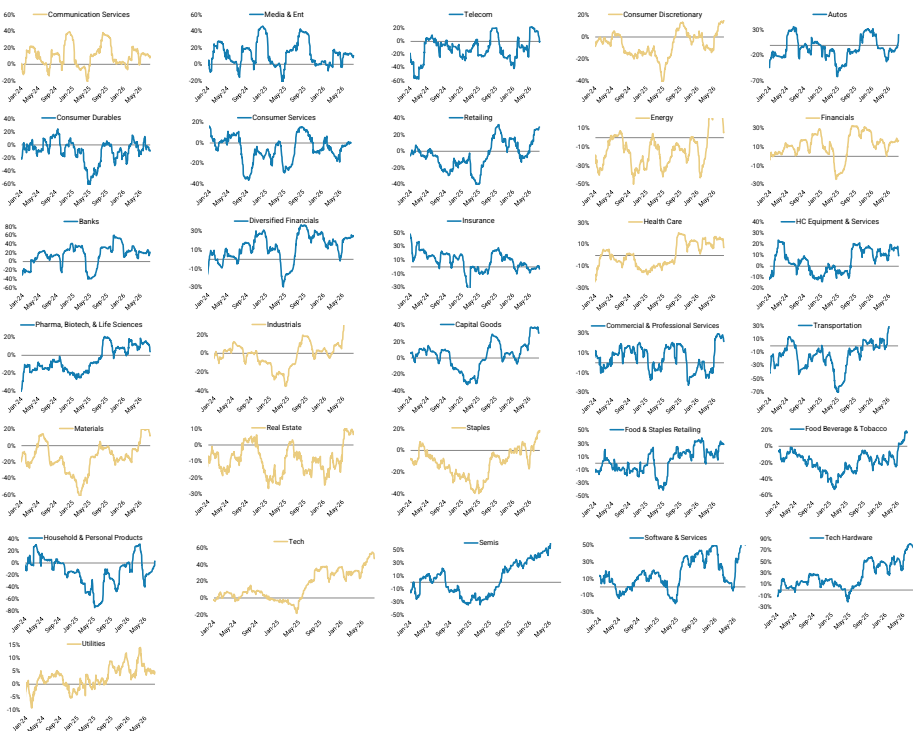
Source: Factset, Morgan Stanley Research

Exhibit 25: Revisions to 2Q26, 2026, and 2027 Earnings Estimates

Sector, Industry Group	YTD			Since 5/31/2026		
	2Q26	2026	2027	2Q26	2026	2027
Communication Services	0.2%	12.3%	4.7%	-0.4%	-0.3%	-0.3%
Media & Entertainment	-4.1%	10.9%	2.2%	-0.3%	-0.2%	-0.1%
Telecom	9.3%	8.2%	7.1%	0.0%	0.0%	-0.3%
Consumer Discretionary	-2.6%	3.9%	-0.3%	1.2%	0.0%	-0.2%
Autos	-5.4%	1.0%	-3.2%	2.1%	0.9%	0.6%
Consumer Durables	6.4%	-3.8%	-8.4%	18.9%	0.0%	-2.8%
Consumer Services	-6.7%	-2.8%	-1.0%	0.5%	-0.2%	-0.2%
Retailing	-1.4%	8.1%	1.7%	-0.4%	0.0%	0.1%
Energy	99.0%	54.6%	20.3%	1.7%	-1.7%	-1.0%
Financials	1.3%	2.1%	1.6%	2.0%	0.7%	0.3%
Banks	2.5%	4.0%	2.9%	2.1%	1.0%	0.3%
Diversified Financials	0.0%	0.6%	1.3%	1.0%	0.4%	0.5%
Insurance	2.8%	2.8%	-0.6%	4.6%	0.8%	-0.3%
Health Care	-15.9%	-5.7%	1.2%	0.0%	-0.1%	0.0%
HC Equipment & Services	-0.7%	0.3%	-1.1%	0.0%	-0.1%	0.0%
Pharma, Biotech, & Life Sciences	-25.1%	-9.2%	2.5%	0.0%	-0.1%	0.1%
Industrials	-4.9%	1.6%	1.7%	0.0%	-0.1%	-0.3%
Capital Goods	-1.9%	3.8%	1.8%	0.0%	-0.1%	0.1%
Commercial & Professional Services	-1.9%	-1.0%	-0.4%	-0.1%	0.0%	0.0%
Transportation	-13.8%	-2.8%	3.3%	-0.1%	-0.1%	-1.6%
Materials	11.1%	14.9%	12.9%	0.3%	-0.3%	0.8%
Real Estate	0.2%	-0.3%	-0.5%	0.0%	-0.1%	-0.1%
Staples	-2.8%	-1.3%	-1.5%	-0.7%	-0.7%	-0.7%
Food & Staples Retailing	-1.1%	0.1%	-0.2%	-0.4%	0.0%	-0.1%
Food Beverage & Tobacco	-1.9%	-1.0%	-0.8%	-0.7%	-1.1%	-1.2%
Household & Personal Products	-5.6%	-1.5%	-2.7%	-0.5%	-0.1%	-0.1%
Tech	20.9%	20.5%	32.2%	2.7%	3.2%	6.4%
Semis	34.9%	35.1%	55.0%	5.1%	6.3%	10.9%
Software & Services	-0.3%	2.9%	2.4%	-0.1%	-0.5%	-0.5%
Tech Hardware	23.1%	17.1%	24.8%	1.0%	1.6%	3.1%
Utilities	-0.1%	0.8%	0.9%	-0.2%	0.1%	0.2%
S&P 500	7.3%	9.5%	11.5%	2.4%	1.6%	2.4%

Source: FactSet, Morgan Stanley Research

Exhibit 26: S&P 500 ERB by Sector (yellow), Industry Group (blue)

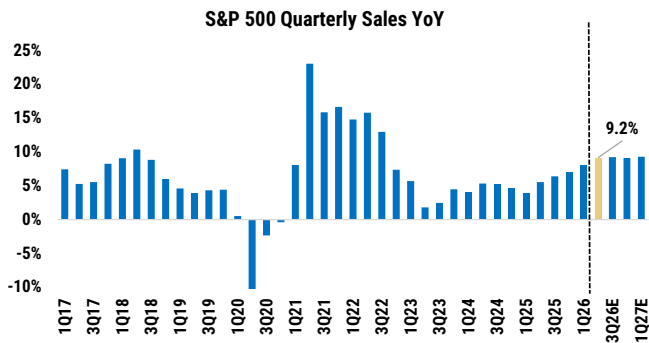


Source: FactSet, Morgan Stanley Research

Sales

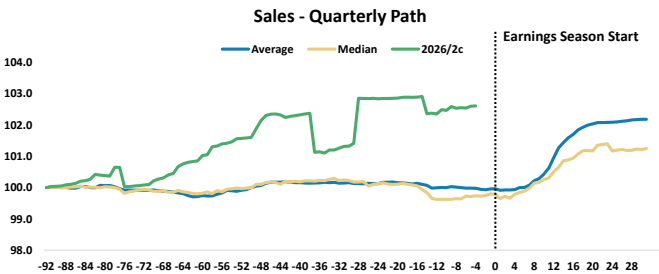
- Consensus expects 9% sales growth in 2Q.
- Consensus expects 9% 2026 Sales growth and 8% 2027 EPS growth

Exhibit 27: 2Q26 Sales

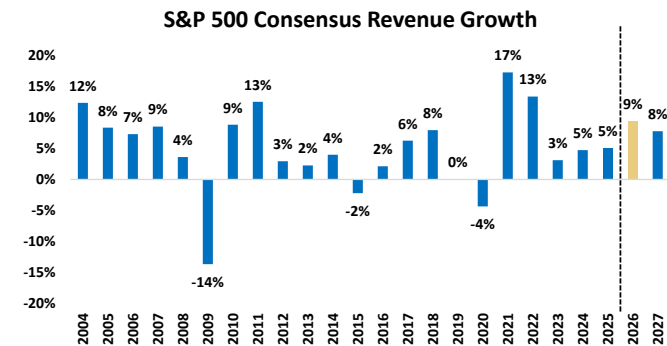


Source: FactSet, Morgan Stanley Research

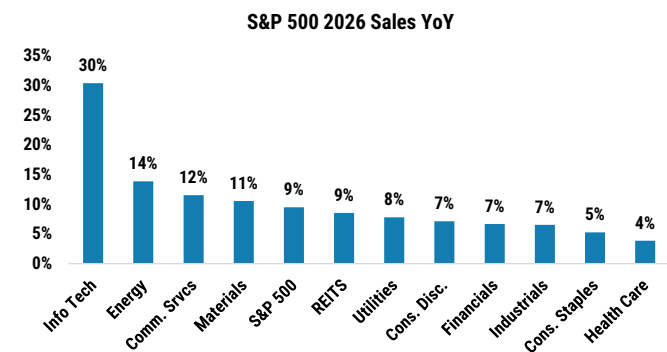
Exhibit 28: Quarterly Sales Seasonality



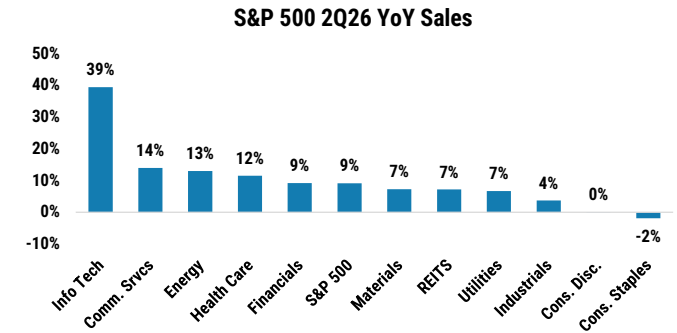
Source: FactSet, Morgan Stanley Research

Exhibit 29: Annual Sales Growth Steps Up in 2026/2027

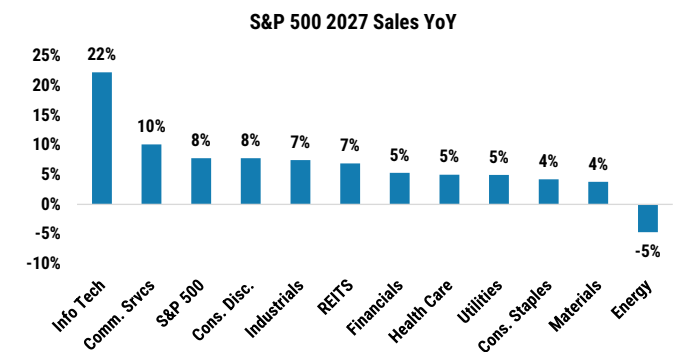
Source: FactSet, Morgan Stanley Research

Exhibit 31: 2026 Consensus Sales

Source: FactSet, Morgan Stanley Research

Exhibit 30: 2Q26 Sales by Sector

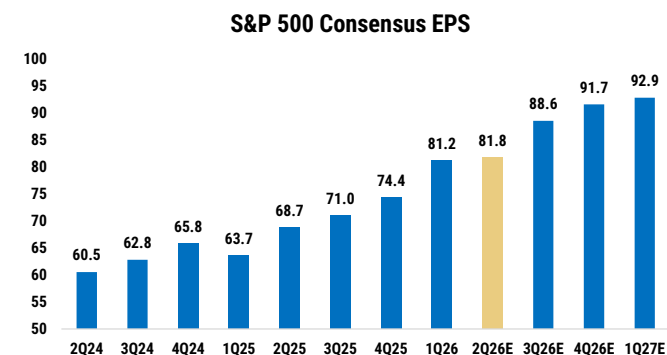
Source: FactSet, Morgan Stanley Research

Exhibit 32: 2027 Consensus Sales

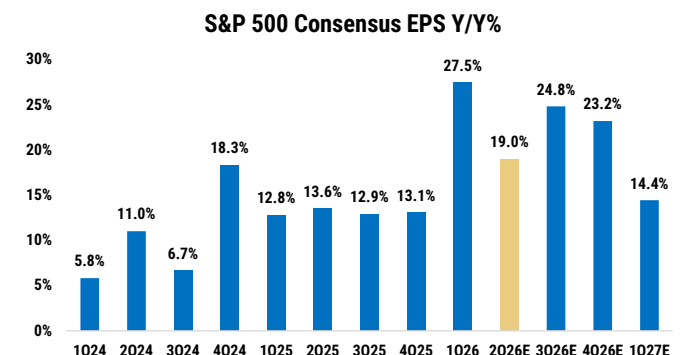
Source: FactSet, Morgan Stanley Research

EPS

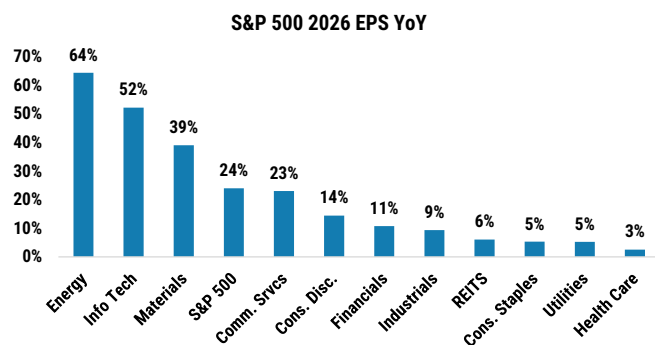
- Consensus expects 19% EPS growth in 2Q.
- Consensus expects 24% 2026 EPS growth and 17% 2027 EPS growth.

Exhibit 33: S&P 500 Consensus EPS

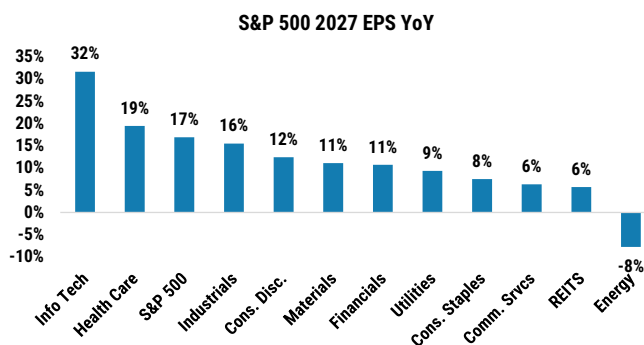
Source: FactSet, Morgan Stanley Research

Exhibit 34: Consensus Expects 19% EPS Growth in 2Q

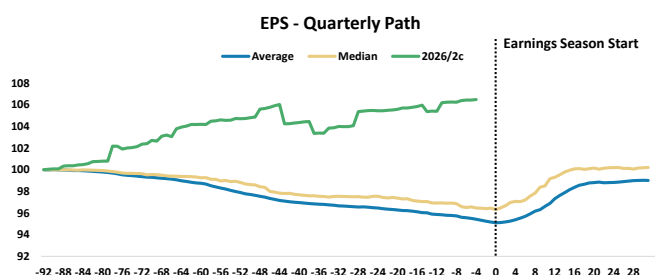
Source: FactSet, Morgan Stanley Research

Exhibit 35: 2026 EPS Growth by Sector

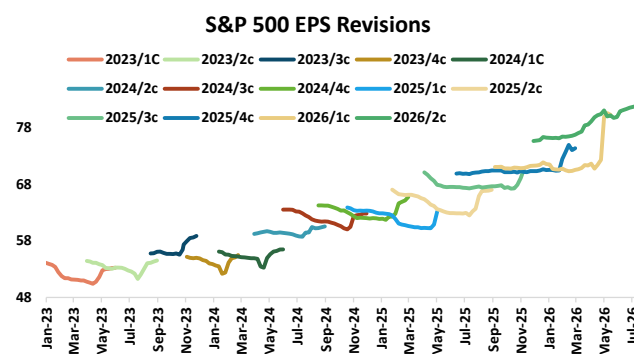
Source: FactSet, Morgan Stanley Research

Exhibit 36: 2027 EPS Growth by Sector

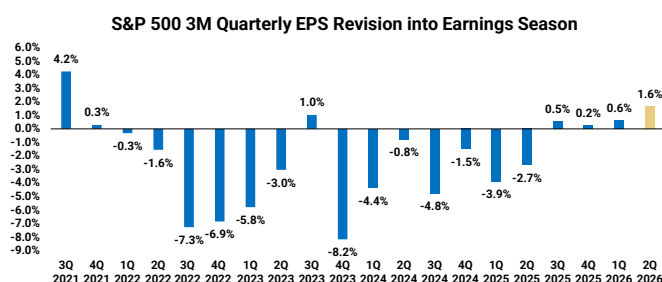
Source: FactSet, Morgan Stanley Research

Exhibit 37: Quarterly EPS Seasonality

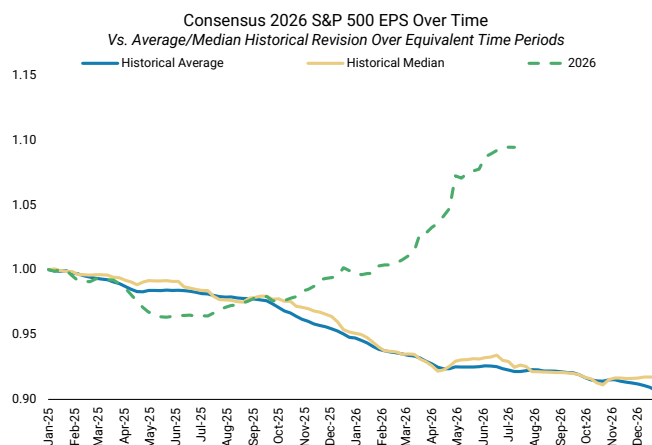
Source: FactSet, Morgan Stanley Research

Exhibit 38: S&P 500 EPS Revisions by Quarter

Source: FactSet, Morgan Stanley Research

Exhibit 39: Earnings Revisions into Reporting

Source: FactSet, Morgan Stanley Research

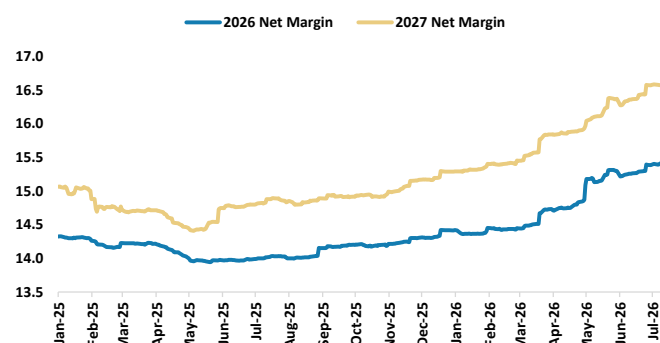
Exhibit 40: Seasonality of Out-Year Earnings Estimates vs 2026

Source: FactSet, Morgan Stanley Research

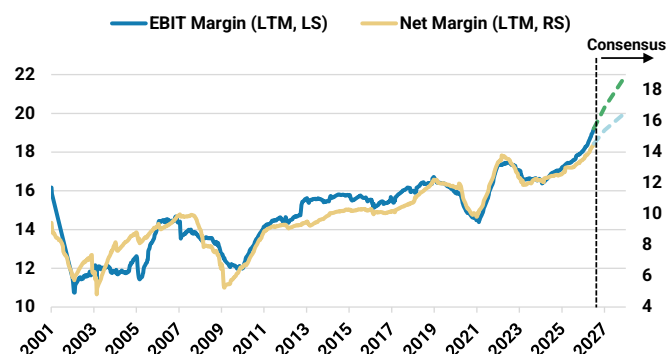
Margins

- Realized (LTM) EBIT margins are at 19.2% today and are expected to be 20.3% for FY2026 and 22.0% for FY2027.
- Realized (LTM) net margins are at 14.5% today and are projected at 15.4% for FY2026 and 16.6% for FY2027.

- 1Q consensus margins are at 14.8% for the S&P 500.

Exhibit 41: Margin Revisions Have Slowed in Recent Months

Source: FactSet, Morgan Stanley Research

Exhibit 42: Margins Are Expected to Push Higher into 2026

Source: FactSet, Morgan Stanley Research

Exhibit 43: 2026 EBIT Margin

2026 EBIT Margin			
Sector, Industry Group	12/31/2025	7/10/2026	Spread
Communication Services	26.5	26.5	0.0%
Media & Entertainment	27.7	29.3	1.6%
Telecom	22.3	20.2	-2.1%
Consumer Discretionary	12.4	12.4	0.0%
Autos	6.4	6.6	0.1%
Consumer Durables	13.0	12.7	-0.3%
Consumer Services	21.9	21.5	-0.5%
Retailing	12.5	12.4	-0.1%
Energy	13.0	16.5	3.5%
Health Care	10.4	10.0	-0.4%
HC Equipment & Services	5.0	5.1	0.1%
Pharma, Biotech, & Life Sciences	36.6	32.5	-4.1%
Industrials	15.3	15.1	-0.2%
Capital Goods	15.6	15.5	-0.1%
Commercial & Professional Services	22.3	22.5	0.2%
Transportation	12.8	12.3	-0.4%
Materials	17.0	18.2	1.2%
Staples	9.8	9.6	-0.1%
Food & Staples Retailing	4.3	4.3	0.0%
Food Beverage & Tobacco	16.9	17.1	0.2%
Household & Personal Products	21.7	21.2	-0.5%
Tech	37.3	40.0	2.7%
Semis	51.6	56.7	5.1%
Software & Services	37.2	37.7	0.5%
Tech Hardware	25.1	26.3	1.3%
Utilities	24.6	24.6	0.0%
S&P 500	19.4	20.3	0.9%

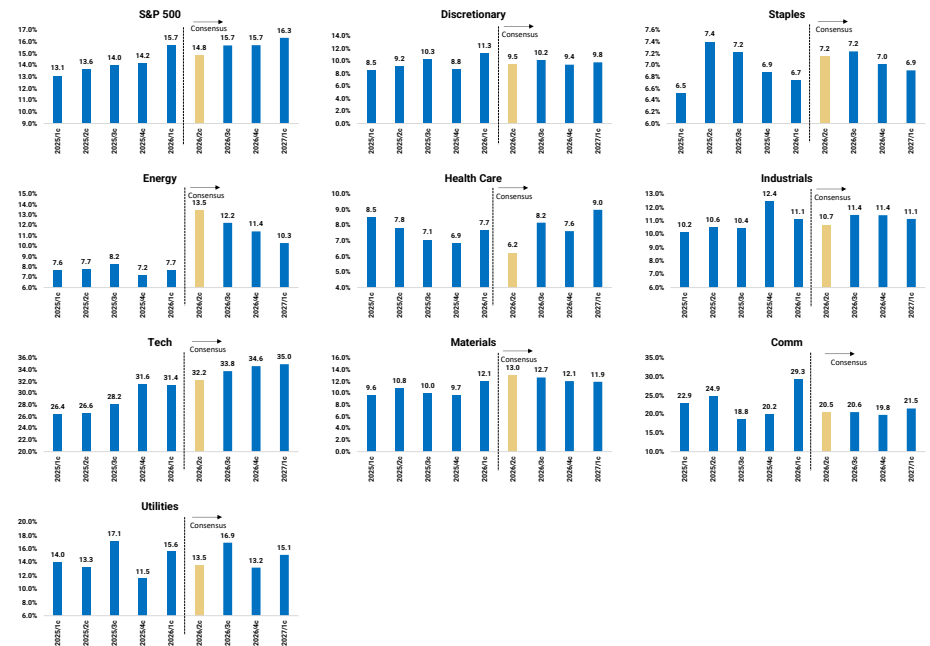
Source: FactSet, Morgan Stanley Research

Exhibit 44: 2026 Net Margin

2026 Net Margin			
Sector, Industry Group	12/31/2025	7/10/2026	Spread
Communication Services	20.3	22.3	2.0%
Media & Entertainment	22.3	27.0	4.7%
Telecom	13.5	12.0	-1.5%
Consumer Discretionary	9.7	10.0	0.3%
Autos	5.2	5.4	0.2%
Consumer Durables	10.0	9.8	-0.2%
Consumer Services	16.0	15.5	-0.5%
Retailing	9.9	10.5	0.5%
Energy	8.5	11.2	2.7%
Health Care	7.9	7.6	-0.4%
HC Equipment & Services	3.6	3.6	0.1%
Pharma, Biotech, & Life Sciences	29.3	25.9	-3.4%
Industrials	11.2	11.2	0.0%
Capital Goods	11.4	11.7	0.3%
Commercial & Professional Services	15.7	15.8	0.1%
Transportation	9.2	8.5	-0.7%
Materials	11.2	12.3	1.1%
Staples	7.2	7.1	-0.1%
Food & Staples Retailing	3.0	3.0	0.0%
Food Beverage & Tobacco	12.4	12.5	0.1%
Household & Personal Products	16.6	16.3	-0.4%
Tech	30.5	32.9	2.5%
Semis	43.6	47.8	4.2%
Software & Services	29.3	30.2	0.9%
Tech Hardware	20.3	21.3	1.0%
Utilities	15.2	15.0	-0.2%
S&P 500	14.4	15.4	1.0%

Source: FactSet, Morgan Stanley Research

Exhibit 45: Net Margins by Sector



Source: FactSet, Morgan Stanley Research

2Q Systematic Earnings Preview (Full MS Coverage)

Summary:

- **Previews:** KPI previews are +23% vs +24% net positive last quarter and NTM EPS previews are +25% vs +19% last quarter on projected NTM impacts. Previews are currently net positive across all sectors with the exception of Materials thus far.

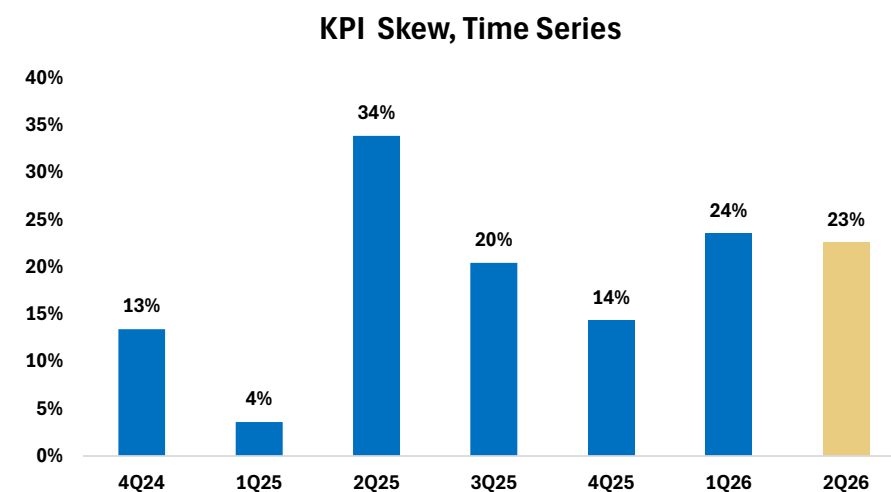
2Q Preview Tracking

Our Morgan Stanley Analysts submit a systematic earnings preview where they forecast two items: 1) **KPI** and 2) **NTM EPS** impact. Below we summarize the sector and industry summaries of these previews. The population is the Morgan Stanley US coverage, which is broader than the S&P 500 and roughly similar to the Russell 1000.

Methodology: Each analyst identifies the key performance indicator (KPI) for each individual stock and it may differ from NTM EPS. For example, the KPI for a Financial Services or Semiconductor company may be net assets or GPU demand and this may differ from NTM EPS (although, it is often similar). Each analyst chooses one of five forecasts for both KPI and EPS: very negative, negative, in-line, positive, or very positive. We roll up these previews into a net score by taking (positive-negative)/total reactions.

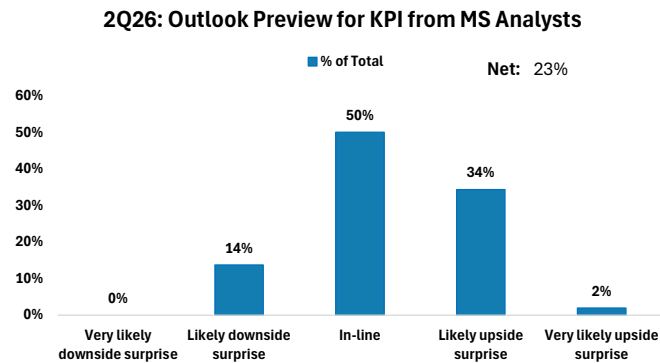
Key Performance Indicator (KPI) Previews

Exhibit 46: KPI Previews from MS Analysts - Net KPI



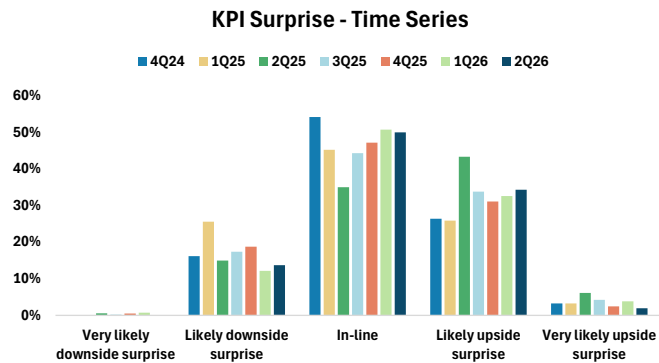
Source: Morgan Stanley Research

Exhibit 47: KPI Preview from MS Analysts - 2Q26



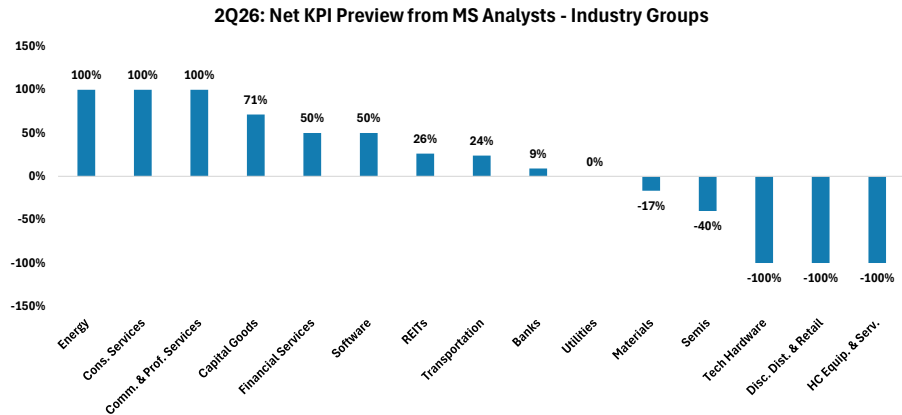
Source: Morgan Stanley Research

Exhibit 48: KPI Preview- Quarterly Time Series



Source: Morgan Stanley Research

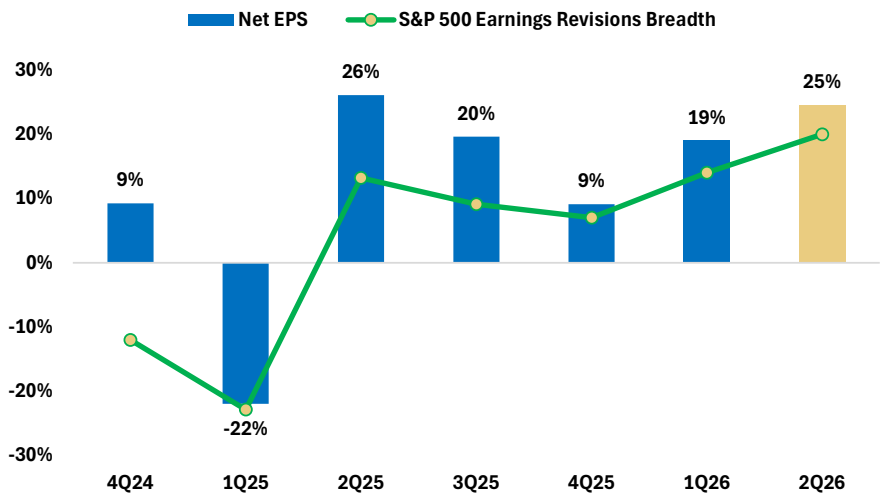
Exhibit 49:
KPI Preview by Industry Group



Source: Morgan Stanley Research

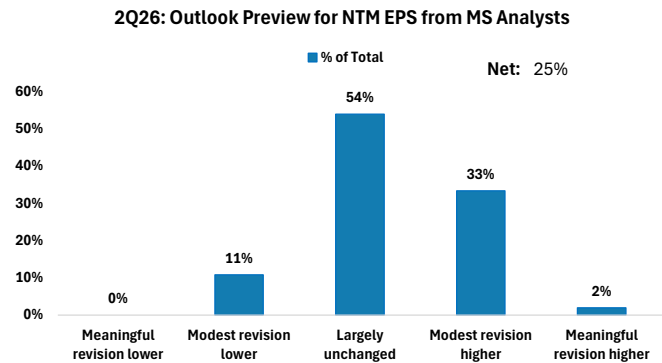
EPS Previews

Exhibit 50: EPS Preview from MS Analysts - Net EPS



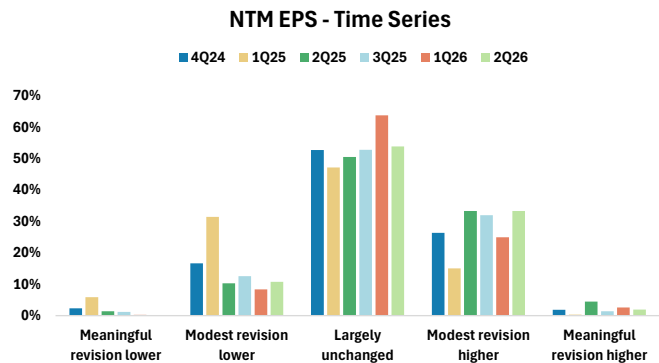
Source: Morgan Stanley Research. ERB is earnings revisions breadth.

Exhibit 51: EPS Preview from MS Analysts - 2Q26



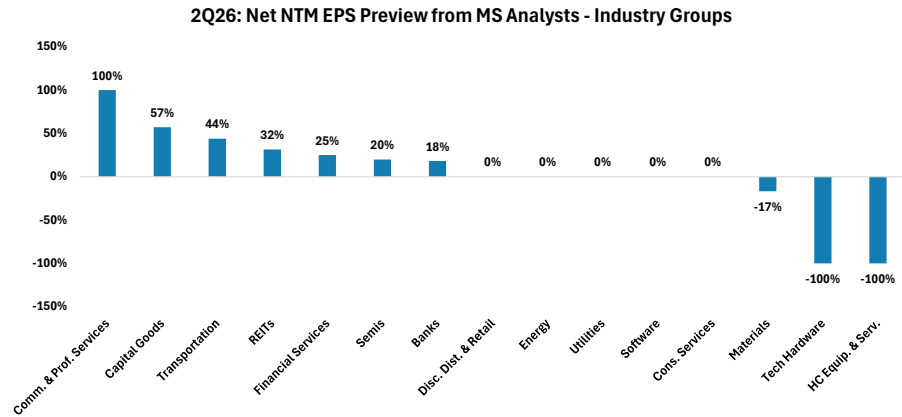
Source: Morgan Stanley Research

Exhibit 52: EPS Preview - Quarterly Time Series



Source: Morgan Stanley Research

Exhibit 53: EPS Preview by Industry Group



Source: Morgan Stanley Research

Favored Stocks with Positive Surprise Expected

We screen for OW-rated stocks that are expected to beat on key KPI, or to see N12M

consensus EPS revised higher post results.

Exhibit 54: Favored Stocks with Positive Surprise Expected

Ticker	Company	Analyst	Sector	Mkt Cap (\$bn)	Last Price	MS Rating	Reporting date	Analyst Identified KPI	Outlook for KPI Trend	Exp. N12M Cons. EPS Impact	Cons. EPS Trend	Analyst Top Pick
UAL	United Airlines Holdings, Inc.	Shanker, Ravi	Industrials	42	126.00	OW	7/15/2026	FY Guide	▲	▲	-	-
STT	State Street Corporation	Gosalia, Marian	Financials	51	180.29	OW	7/16/2026	Medium Term ROTCE Guide	▲	▲	-	-
ZION	Zions Bancorporation NA	Gosalia, Marian	Financials	10	70.86	OW	7/20/2026	2026 Operating Leverage	▲	▲	-	-
GDV	GE Vernova	Arcaro, David	Industrials	292	1091.22	OW	7/22/2026	New Gas Turbine Contracts	▲	▲	-	-
LUV	Southwest Airlines Co.	Shanker, Ravi	Industrials	27	48.44	OW	7/22/2026	Idiosyncratic Revenue Initiatives	▲	▲	-	-
ROL	Rollins Inc.	Panish, Greg	Industrials	22	44.45	OW	7/22/2026	Organic Revenue Growth	▲	▲	-	-
AAL	American Airlines Group Inc.	Shanker, Ravi	Industrials	11	16.95	OW	7/23/2026	Margin Execution	▲	▲	-	-
WELL	Welltower Inc.	Kamdem, Ronald	Real Estate	170	231.59	OW	7/27/2026	same-store NOI growth	▲	▲	-	-
BE	Bloom Energy Corp.	Arcaro, David	Industrials	63	244.61	OW	7/28/2026	Framework agreements	▲	▲	-	-
DINO	HF Sinclair Corp	Laetsch, Joe	Energy	14	78.07	OW	7/28/2026	Lubricants & Specialties Earnings	▲	▲	-	-
UMBF	UMB Financial Corp	Wilczynski, Brian	Financials	11	144.99	OW	7/28/2026	Core Net Interest Margin	▲	▲	-	-
LRCX	Lam Research Corp	Brett, Shane	Information Technology	443	350.33	OW	7/29/2026	SepQ Guide	▲	▲	-	-
ARCB	ArcBest Corp	Shanker, Ravi	Industrials	3	147.13	OW	7/29/2026	Asset-Based DR Guidance	▲	▲	-	-
IFF	International Flavors & Fragrances	De Nève, Lisa	Materials	20	77.53	OW	8/4/2026	LFL Adj EPS	▲	▲	-	Top
PSX	Phillips 66	Laetsch, Joe	Energy	76	188.35	OW	8/5/2026	Net Debt	▲	▲	-	-
AHR	American Healthcare REIT, Inc.	Kamdem, Ronald	Real Estate	10	53.57	OW	8/6/2026	same-store NOI growth	▲	▲	-	-

For valuation methodology and risks associated with any price targets referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-5424-4349. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA. Note: Screen systematically looks at MS Analyst earnings previews and filters for Overweight or Equal Weight rated stocks where the Analyst expects upside in the Key Performance Indicator (KPI). The KPI may differ from their view on EPS impact. Source: Bloomberg, Morgan Stanley Research

What Are Companies Saying About AI?

Michelle Weaver, US Thematic Strategist

The following is an excerpt from the note ["What Are Companies Saying About AI Adoption Benefits & AI's Impact on Labor?"](#) Please see the full note for more details.

One question we frequently receive from investors is: "to what extent are companies seeing tangible efficiency gains from AI adoption?" Last fall, in collaboration with the QuantWise team, **we leveraged the GPT model to analyze approximately >17,000 conference transcripts and track how management teams are communicating the quantifiable benefits of AI adoption to investors.** Today we update that analysis for earnings calls and conference transcripts for events that took place during 2Q (note, earnings calls taking place during 2Q were largely those covering 1Q results). **We identified 6 broad categories where companies are making statements about the quantifiable benefits seen from AI adoption:** (1) Financial Impact, (2) Productivity Gain, (3) Sales, Marketing, & Customer Growth, (4) Product Innovation & Development, (5) Governance, Risk, & Security, and (6) Other/Cross Functional Benefits.

This quarter, we added an analysis of company discussions of AI's impact on labor. We were strict with our prompting and only looked for instances where there was a clear link between AI and the employment effect and did not consider broader discussions. **We identified 5 broad categories where companies are making statements about AI's impact on labor:** (1) AI Automation, (2) Layoffs to Fund AI Investment, (3) Lower Headcount Growth/Hiring, (4) Not Replacing Attrition, and (5) Revenue/Headcount Growth Decoupling.

Exhibit 55: AI Benefit & Labor Impact Classifications

Quantifiable Benefits Categories:



AI's Impact on Labor Categories:



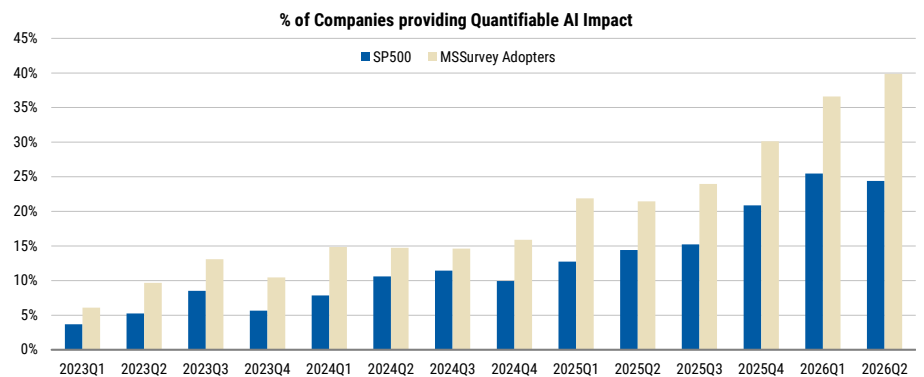
Investors have been concerned about the transition from companies promoting tokenmaxxing (encouraging employees to use as much AI compute as possible) to a more cost-conscious approach to AI use and what that means for AI Adoption. Against this backdrop, company discussions of the benefits they are seeing from AI adoption remain robust.

The share of companies citing quantifiable benefits from AI adoption increased again for MS AI Adopters. **In 2Q26, 40% of companies identified as "adopters" by our analysts mentioned at least one quantitative impact, up from 21% in 2Q25 and 37% in 1Q26.** For the broader S&P 500, **~25% of members mentioned at least one measurable benefit, in**

line with last quarter and up from 14% in 2Q25. Today, the majority of quantifiable benefits are tied to "financial impact" (revenue growth/generation, cost savings, or investment & capital impacts) and "productivity gains."

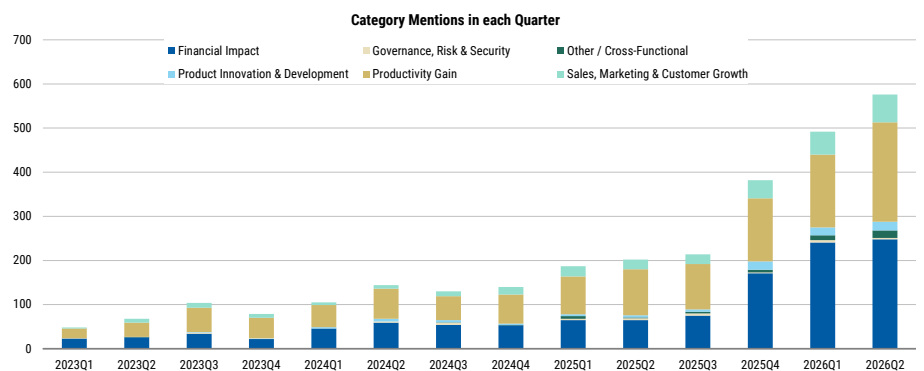
[Please click here](#) for the full database of ~3,600 stocks mapped by AI exposure (Adopters/Enablers) and materiality.

Exhibit 56: Discussions of Quantifiable Benefits from AI Are Rising for "AI Adopters"



Source: AlphaWise, Morgan Stanley Research. Please note, companies mentioning multiple quantifiable benefits from AI are only counted once in this chart.

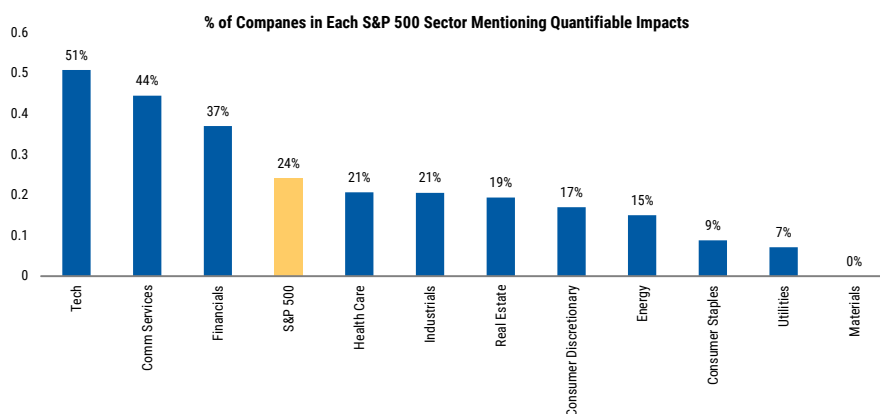
Exhibit 57: Category Level Mentions of AI Benefits



Source: AlphaWise, Morgan Stanley Research

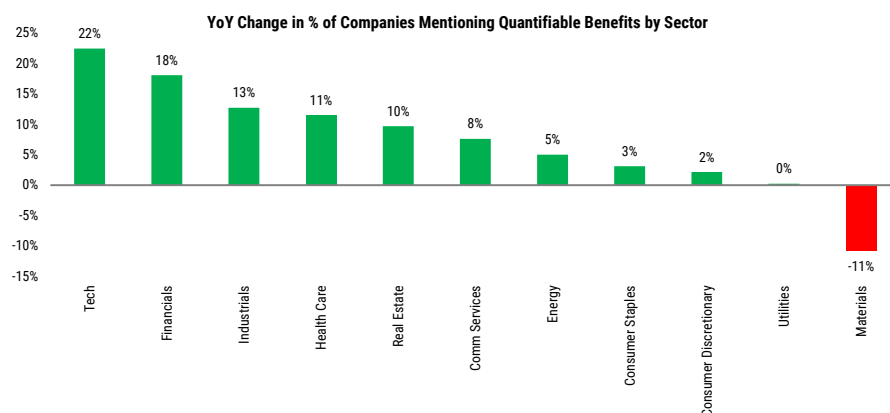
We analyzed the percentage of companies within each sector in the S&P 500 that referenced tangible AI-driven improvements. **Technology holds its spot at the top, with 51% of companies highlighting quantifiable benefits.** Communication Services follows at 44% and Financials rank third at 37%. On a year over year basis, Tech saw the largest increase in mentions (from 28% of the sector in 2Q25 to 51% today), followed by Financials (from 8% of the sector in 2Q25 to 37% today), and Industrials (from 19% of the sector in 2Q25 to 21% today).

Exhibit 58: Percent of Companies within S&P 500 Sectors Mentioning Quantifiable AI-Related Impacts



Source: AlphaWise, Morgan Stanley Research.

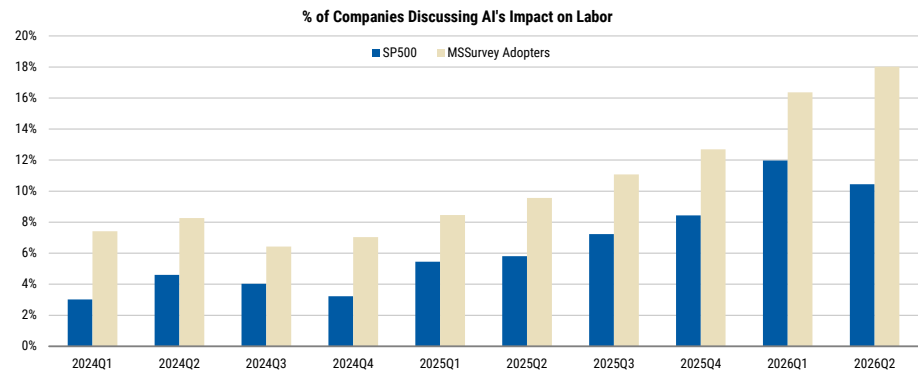
Exhibit 59: YoY Change in Mentions by Sector



Source: AlphaWise, Morgan Stanley Research

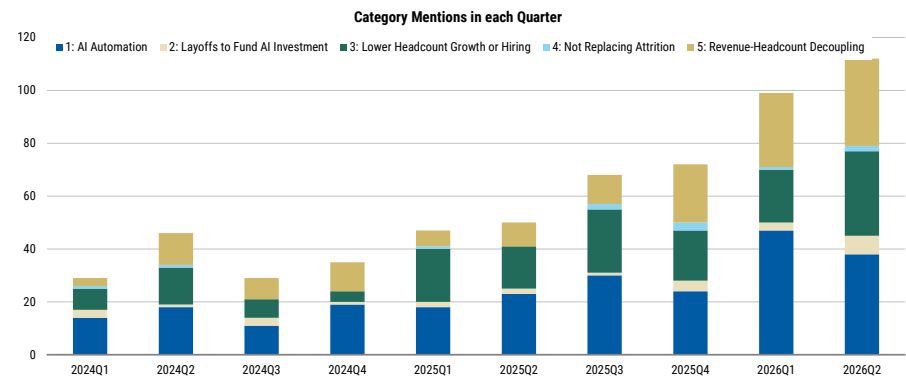
Overall, discussions of AI's impact on labor remain relatively limited across the S&P 500, but are rising. As of 2Q26, roughly 10% of companies discussed AI's labor implications, up from ~6% a year ago, with commentary most frequent in Financials, Tech, and Industrials. The incidence was higher among MS AI Adopters, at 18%, suggesting workforce implications are a greater focus for companies further along the AI adoption curve. In 2Q26, commentary was fairly evenly split across "automation", "lower headcount growth or hiring", and "revenue-headcount decoupling", with the latter seeing the largest increase in share over time as companies focus on using AI to improve worker efficiency and drive higher revenue per employee.

Exhibit 60: Companies Are Increasingly Discussing AI's Impact on Workers



Source: AlphaWise, Morgan Stanley Research

Exhibit 61: Companies are Discussing Automation, Lower Hiring, and Revenue/Headcount Decoupling



Source: AlphaWise, Morgan Stanley Research

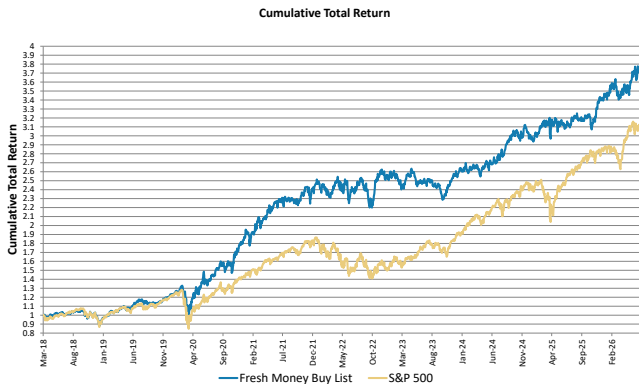
Fresh Money Buy List

Exhibit 62: Fresh Money Buy List - Stats & Performance

Company Name	Ticker	MS Rating	Sector	Market Cap (\$Bn)	Price	MS PT	% to MS PT	MS Analyst	Date Added	Total Return Since Inclusion	
										Absolute	Rel. to S&P
Abbvie Inc.	ABBV	Overweight	Health Care	\$446.4	\$252.67	278.00	10.0%	Flynn, Terence	8/12/2024	38.5%	(6.7%)
American Tower Corp.	AMT	Overweight	Real Estate	\$76.9	\$165.04	220.00	33.3%	McVeigh, Cameron	4/7/2025	(19.2%)	(70.8%)
CenterPoint Energy Inc.	CNP	Equal-Weight	Utilities	\$28.7	\$44.03	39.00	(11.4%)	Arcaro, David	3/21/2022	66.9%	(13.6%)
Delta Air Lines, Inc.	DAL	Overweight	Industrials	\$57.3	\$87.27	125.00	43.2%	Shanker, Ravi	11/17/2025	50.8%	37.4%
EQT Corp.	EQT	Overweight	Energy	\$32.0	\$51.14	68.00	33.0%	McDermott, Devin	11/17/2025	(18.1%)	(31.4%)
Knight-Swift Transportation Holdings Inc.	KNX	Overweight	Industrials	\$12.2	\$74.98	100.00	33.4%	Shanker, Ravi	11/17/2025	76.7%	63.3%
Northrop Grumman Corp.	NOC	Overweight	Industrials	\$77.4	\$544.93	745.00	36.7%	Liwaig, Kristine	8/12/2024	12.9%	(32.3%)
Atlassian Corporation PLC	TEAM	Overweight	Information Technology	\$21.8	\$85.47	120.00	40.4%	Singh, Sanjit	11/17/2025	(41.5%)	(54.8%)
Target Corp.	TGT	Overweight	Consumer Staples	\$60.1	\$132.42	150.00	13.3%	Gutman, Simeon	11/17/2025	53.2%	39.9%
Walmart Inc.	WMT	Overweight	Consumer Staples	\$800.1	\$113.10	140.00	23.8%	Gutman, Simeon	3/27/2023	149.9%	50.5%
Current List Performance											
Average (Eq. Weight)				\$171.3			25.6%			37.01%	(1.87%)
Median				\$58.7			33.1%			44.6%	(10.2%)
% Positive Returns (Abs. / Rel.)										70%	40%
% Negative Returns (Abs. / Rel.)										30%	60%
Avg. Hold Period (Months)											19.3
All Time List Performance											
Average (Eq. Weight)										29.6%	3.7%
Median										20.6%	(4.0%)
% Positive Returns (Abs. / Rel.)										73%	42%
% Negative Returns (Abs. / Rel.)										27%	58%
Avg. Hold Period (Months)											18.6
Performance returns shown above and below represent local currency total returns, including dividends and excluding brokerage commission. Returns are calculated using the closing price on the last trading day before the date shown in the "Date Added" column through close on the last trading day prior to publication of this report for stocks currently on the list and through close on the day of removal for stocks formerly on the list. These figures are not audited. Past performance is no guarantee of future results.											

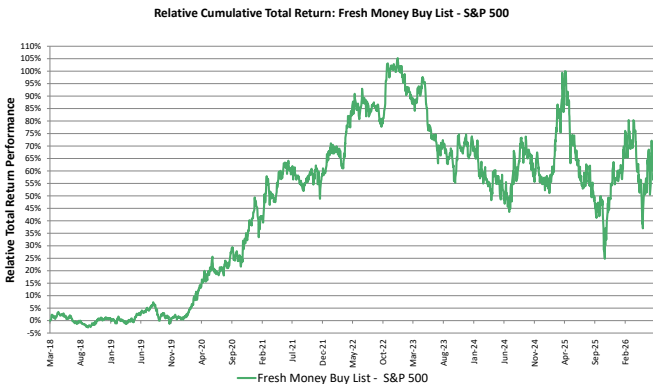
Source: Bloomberg, Morgan Stanley Research

Exhibit 63: Fresh Money Buy List & S&P 500 Cumulative Total Return



Source: Bloomberg, Morgan Stanley Research

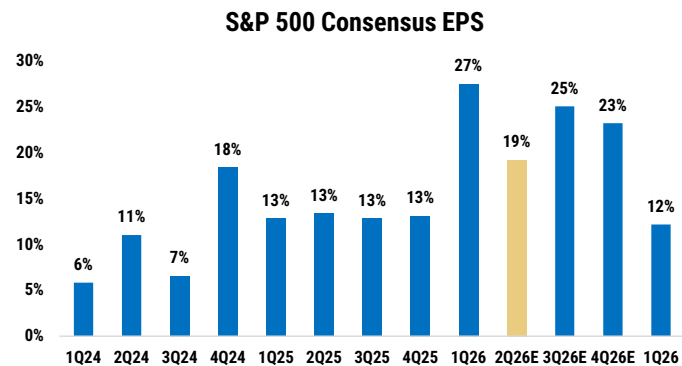
Exhibit 64: Fresh Money Buy List / S&P 500 Cumulative Relative Return



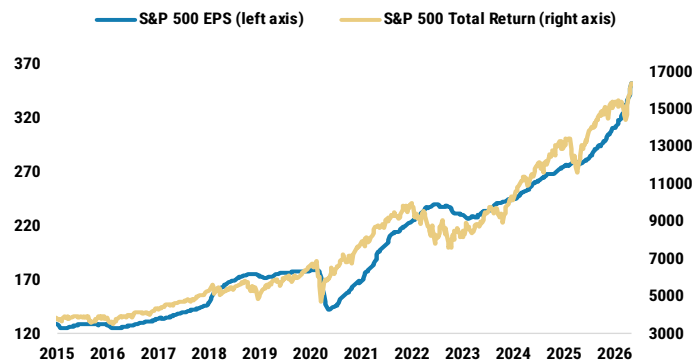
Source: Bloomberg, Morgan Stanley Research

Weekly Charts to Watch

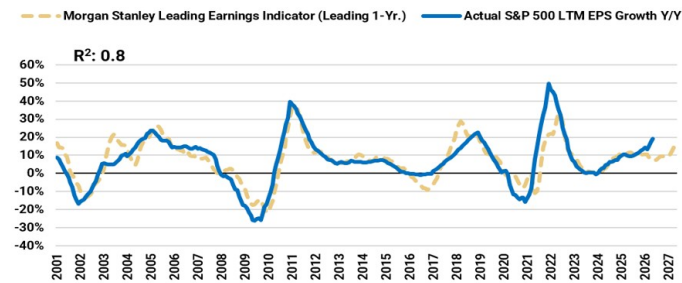
Exhibit 65: US Earnings Snapshot
S&P 500 Y/Y EPS Growth



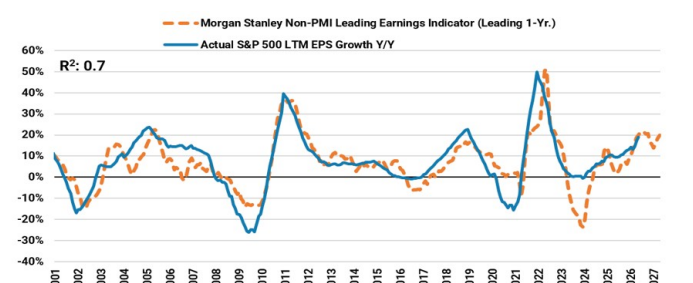
S&P 500 NTM EPS vs. Total Return Level



US Leading Earnings Indicator



US Non-PMI Leading Earnings Indicator



Source: Refinitiv, FactSet, Morgan Stanley Research. Top: As of July 10, 2026. Bottom left as of May 31, 2026. Bottom right as of May 31, 2026. Government data has delayed further updates. Actual S&P 500 LTM EPS as of 6/30/26. The LEI is a top down macro indicator consisting of the Inventory/Sales ratio, ISM Manufacturing PMI, ISM Manufacturing Employment PMI, Consumer Confidence and credit spreads. MS Non-PMI Leading Earnings Indicator inputs: Philadelphia Fed economic activity, Creighton U. business confidence, Chicago Fed supplier deliveries, Atlanta Fed wage tracker (inverse signal), NFIB small bus. most important problem inflation (inverse signal), and Brave-Butters-Kelley cycle component of monthly GDP. Weightings are fixed over time.

Exhibit 66: Morgan Stanley US Equity Strategy Forecast Table

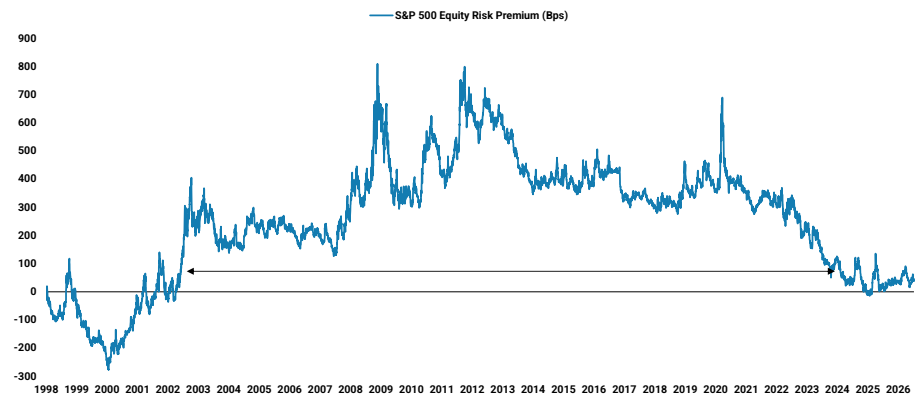
		MS Top Down EPS Estimates								Bottom Up Consensus EPS Estimates				
		Current Price	MS Next 12M Price Target	MS Next 12M Price Target % to Current	Current P/E	MS Next 12M P/E Target	2026	2027	June 2028	2028	2026	2027	June 2028	2028
Bear		7.575	5.900	-22%	20.5x	19.0x	\$299	\$300	\$311	\$322	\$341	\$398	\$426	\$456
	Growth						9%	0%	4%	7%	24%	17%	16%	15%
Base		7.575	8.300	10%	20.5x	20.5x	\$339	\$380	\$404	\$429	\$341	\$398	\$426	\$456
	Growth						23%	12%	13%	13%	24%	17%	16%	15%
Bull		7.575	9.400	24%	20.5x	21.0x	\$352	\$416	\$448	\$480	\$341	\$398	\$426	\$456
	Growth						28%	18%	17%	16%	24%	17%	16%	15%

Source: FactSet, Morgan Stanley Research.

Exhibit 67: Sector Ratings

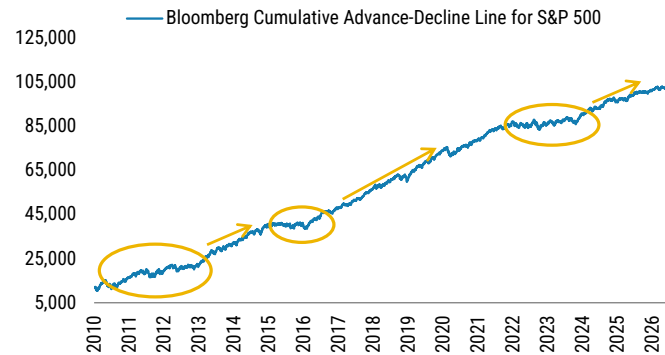
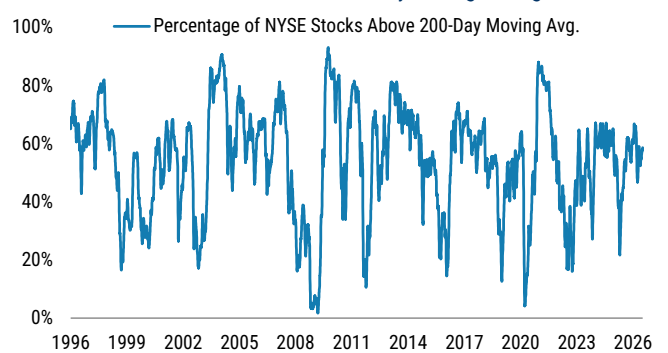
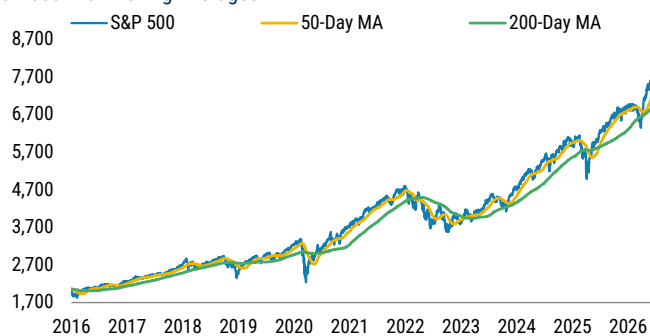
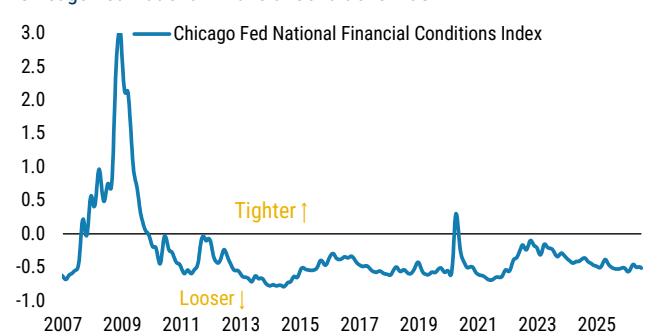
Morgan Stanley Sector Recommendations			
Overweight	Financials	Industrials	Consumer Discretionary Goods
Equal Weight	Tech	Comm. Services	Health Care
	Materials	Utilities	Consumer Services
	Energy		
Underweight	Staples	Real Estate	

Source: Morgan Stanley Research

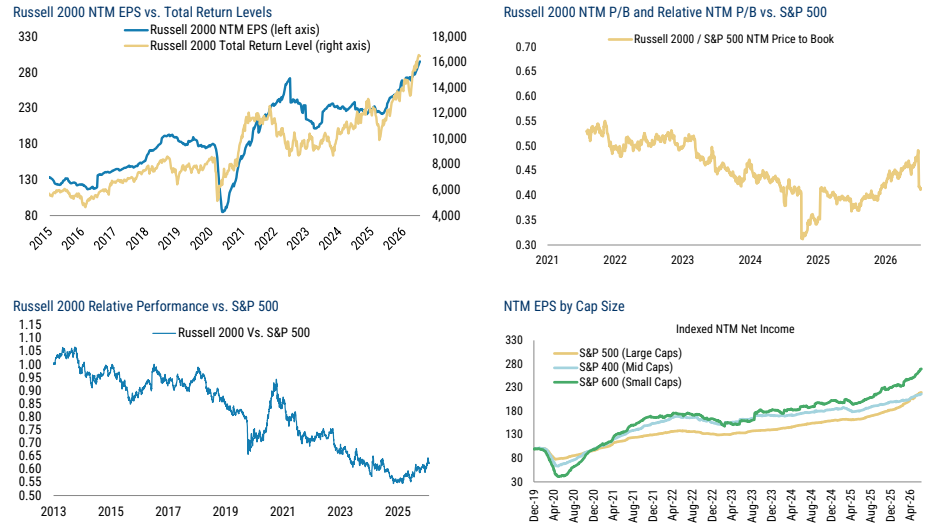
Exhibit 68: Equity Risk Premium

Note: Equity risk premium is calculated as the S&P 500 forward 12M earnings yield minus the nominal 10-Year Treasury.

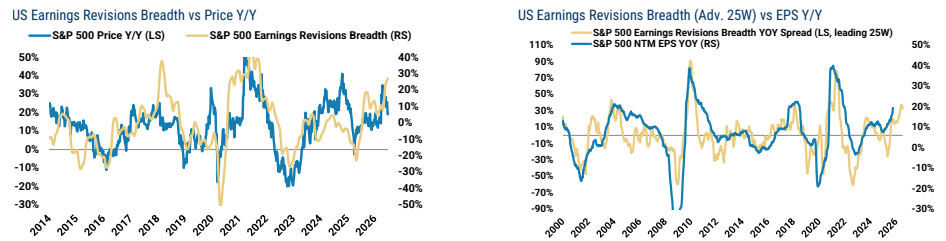
Source: As of July 10, 2026. Bloomberg, Morgan Stanley Research

Exhibit 69: US Equity Market Technicals and Financial Conditions**S&P 500 Advance/Decline Line****S&P 500 Percent Members Above 200-Day Moving Average****S&P 500 with Moving Averages****Chicago Fed National Financial Conditions Index**

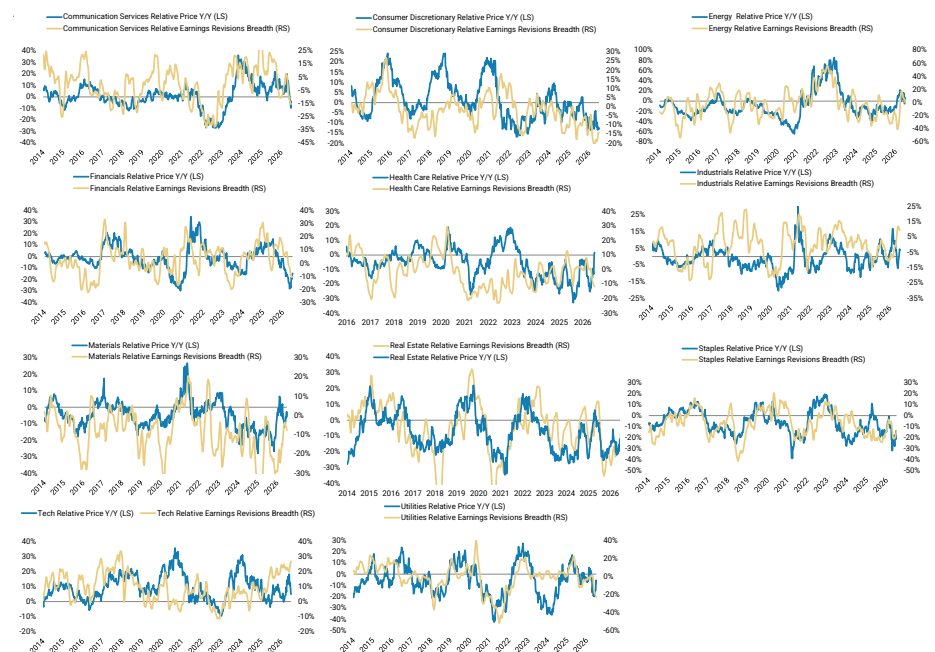
Source: Bloomberg, Morgan Stanley Research. As of July 10, 2026

Exhibit 70: US Small Cap Equities

Source: FactSet, Morgan Stanley Research. As of July 10, 2026

Exhibit 71: Earnings Revisions Breadth

Source: FactSet, Morgan Stanley Research

Exhibit 72: Earnings Revisions Breadth vs YoY Performance

Source: FactSet, Morgan Stanley Research. As of July 10, 2026

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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